Australia's Trade in Goods Account, August

#trade #australia



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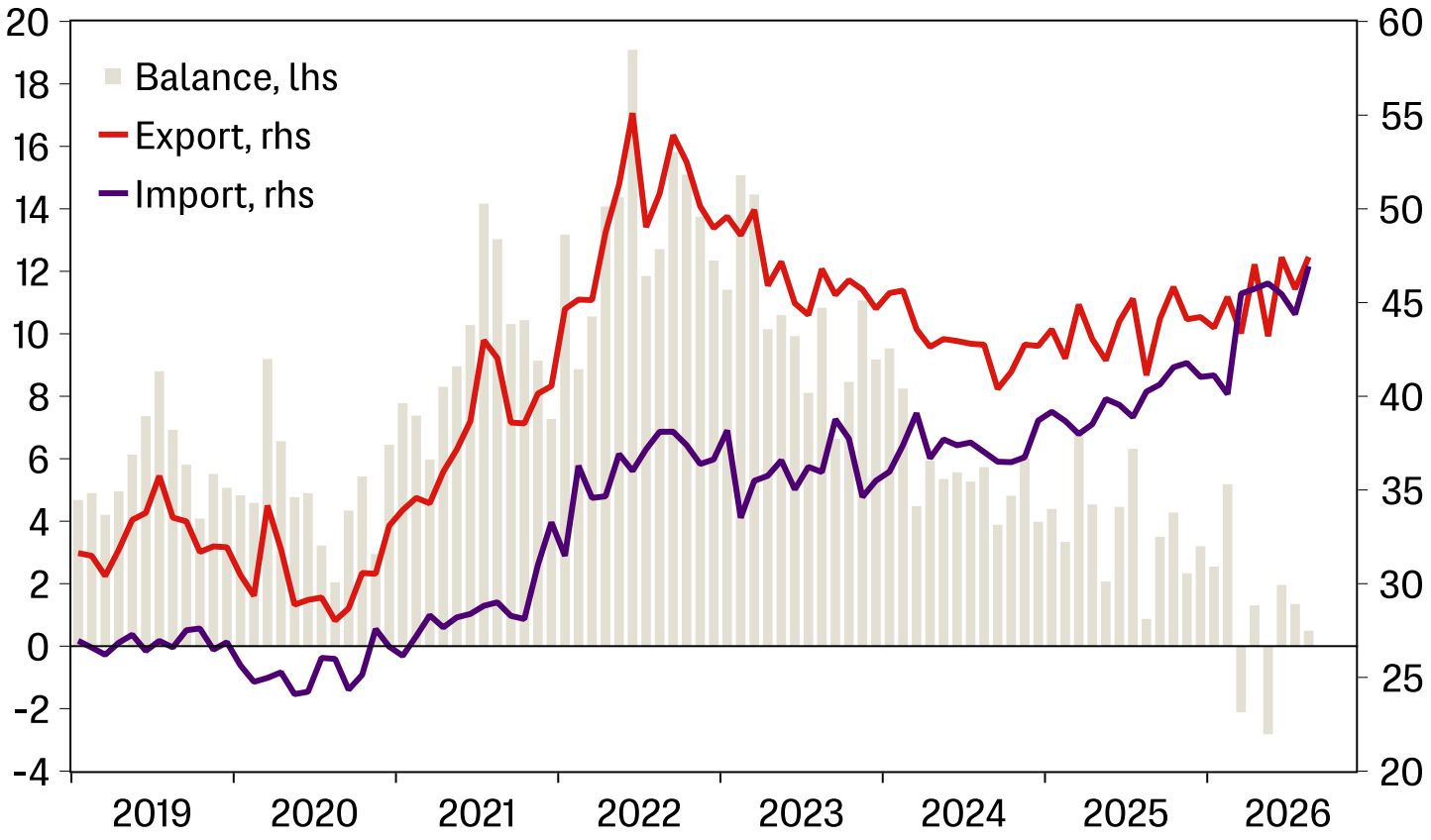
Another surge in data centre-related equipment imports in August, alongside continued volatility in gold trade. Trade balance: $0.5bn surplus. Export values: 3.7%mth. Import values: 5.8%mth.



Australia's goods trade surplus narrowed to $0.5bn in August from $1.4bn in July (revised down from $1.9bn previously). This result was significantly lower than expected – the market consensus was for a broadly stable reading, while Westpac had a slight widening pencilled in. Over the past six months or so, the trade balance has been oscillating between small deficits and surpluses, largely coinciding with significant month-to-month volatility in the trade mix. The chief culprit behind this volatility has been trade in non-monetary gold, among other components.

Goods Trade Balance

Value, $bn

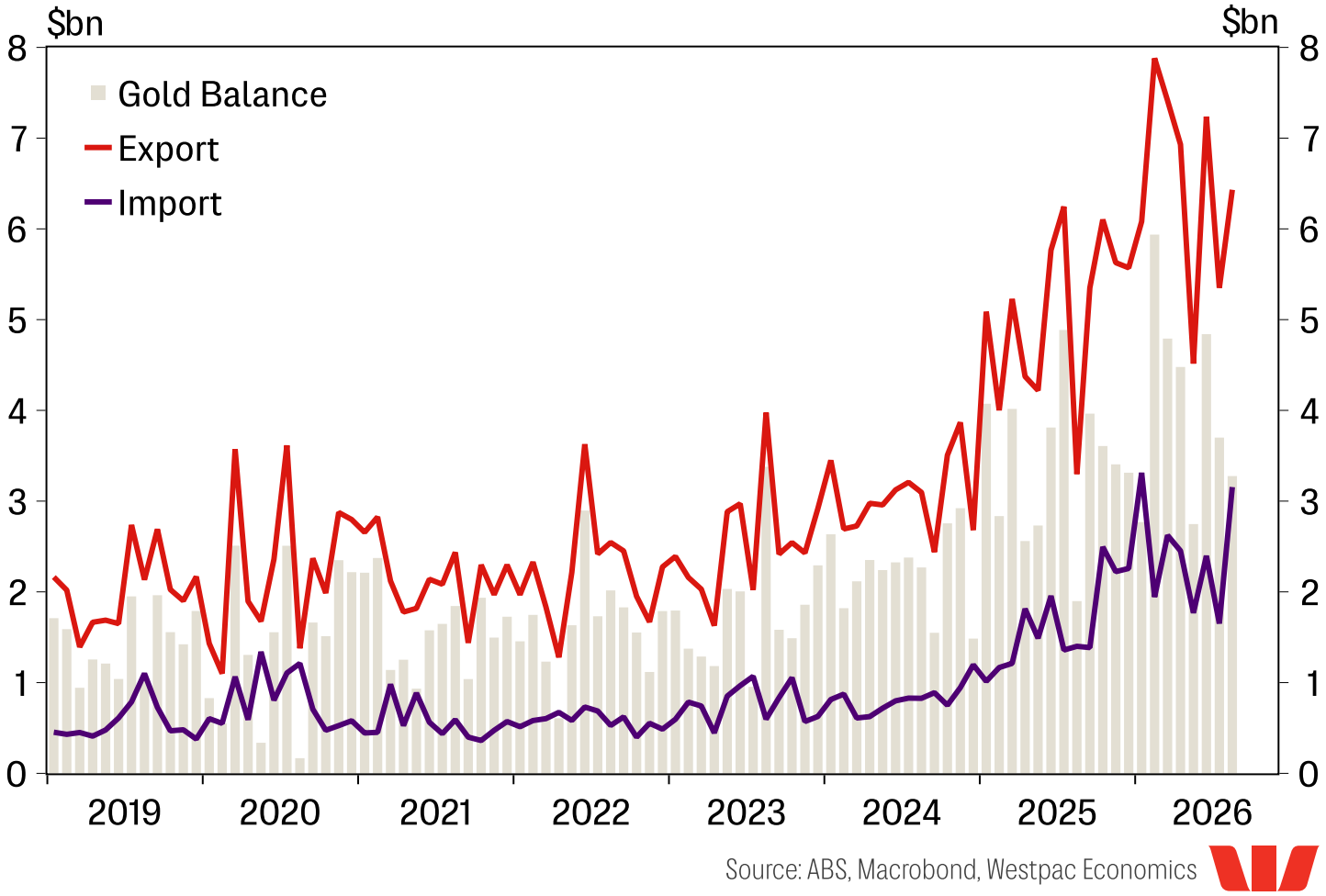


Source: ABS, Macrobond, Westpac Economics

Before discussing the detail, it is once again worth noting the results for gold up front. In August, non-monetary gold exports jumped 20%, while imports surged 91%. Excluding gold, the trade figures have been much more stable, closer to a deficit of $2-3bn per month over the past three months, down from larger deficits around the start of the year.

Export earnings rose 3.7% in August, bouncing back from a 3.6% decline in July. The trend for exports so far this year looks a bit more positive, but again, this is tricky to read given the volatility present in the data. Excluding gold, export earnings were up 1.6% in August. This was largely supported by a 4.7% lift in coal and a 2.8% increase in LNG, with further detail provided by the ABS suggests that an increase in both volumes and prices contributed. However, iron ore (–1.5%) and rural goods (–1.0%) weighed on earnings in the month.

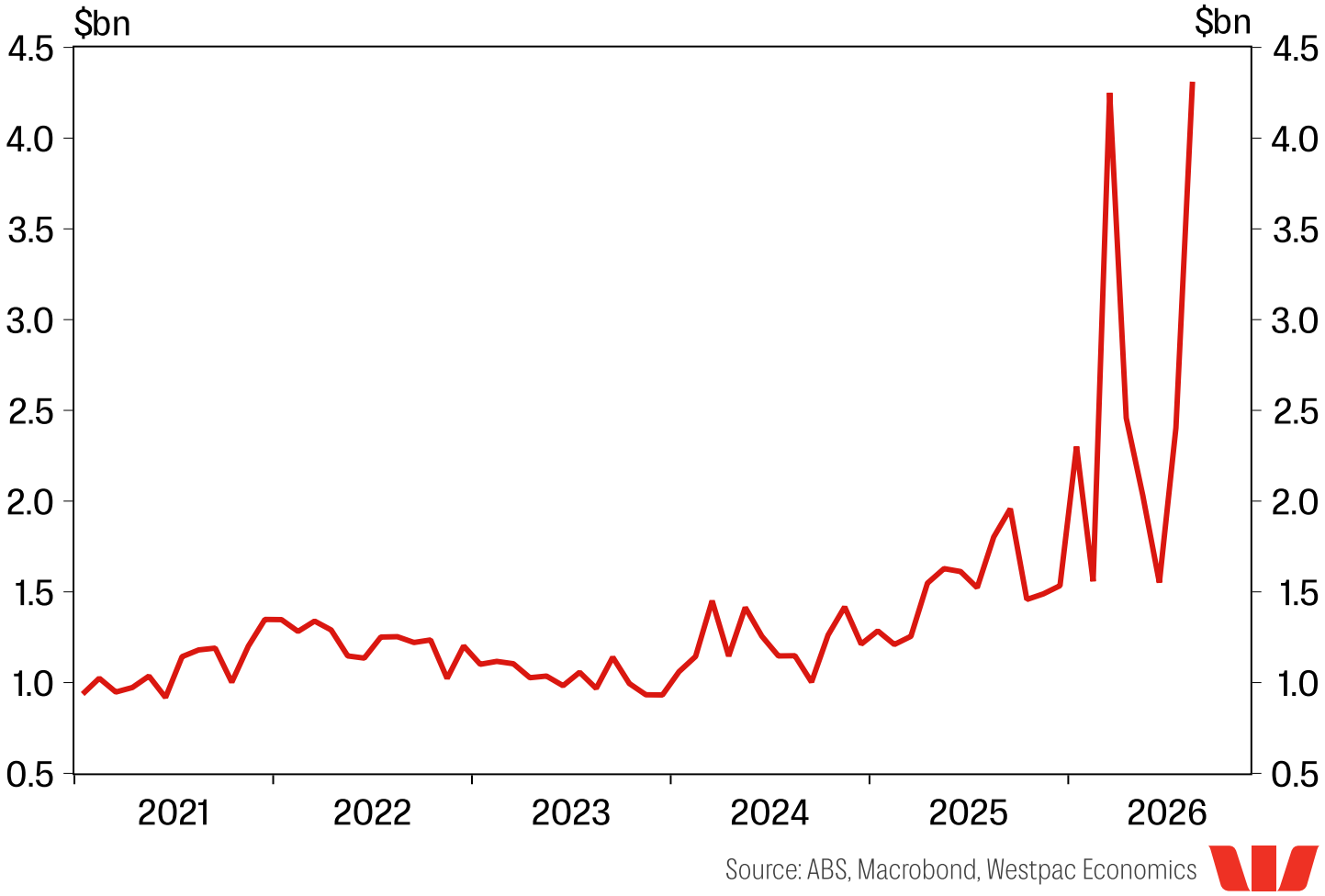
Gold Trade (Values)



The import bill meanwhile increase by 5.8% in August. Once again, a surge in automatic data processing (ADP) equipment imports – which capture the investment upswing related to data centres – were in the spotlight, surging 79% in the month up to $4.3bn. There were also an increase in other capital goods imports centred on telecommunications equipment (+12%) and civil aircraft (+30%) – large in their own right but dwarfed by the surge in ADP imports in the month.

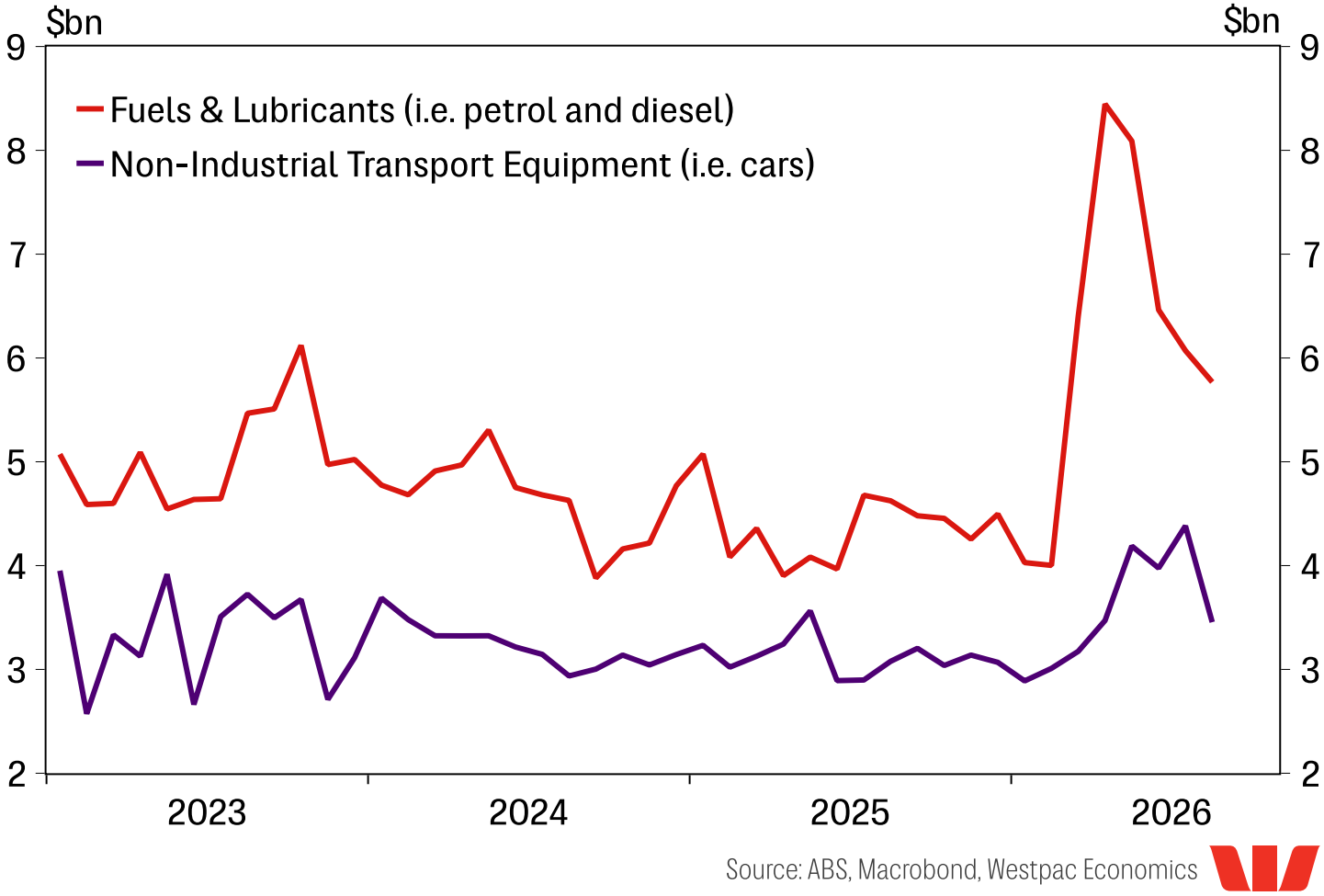
Our latest estimates have the total pipeline for data centres at around $175bn over the coming decade, with much of that being front-loaded. It is natural to expect month-to-month volatility in ADP equipment imports as these large and lumpy data centre projects are worked through, but it is worth highlighting that August's jump closely resembles the surge from March, when imports also surged to around $4.3bn. Given the scale of the increase in August, Q3 is shaping up to be another quarter where data centre investment will play a significant role in driving growth – while it is true that the data centre build-out is import-intensive, our modelling suggests that once spending enters Australia, the local economic impact is likely to be around half of the total investment.

ADP equipment imports



Elsewhere across the import basket, while gold imports also surged, it was effectively offset by a decline in consumer imports of non-industrial transport equipment (i.e. cars), down 21.2% in August following the surge from May to July. While still tentative at this stage, it suggests that the momentum in EV purchases, which played a significant role in the consumer spending story in Q2, may be starting to wane. Additionally, a further pull-back in fuel imports (–5.0%) in August has extended the downward trend in recent months, following the initial surge in oil prices in March and April after the war in the Middle East began. However, with the conflict re-escalating recently and margins on refined fuel products widening, we could see this trend reverse over the coming months.

Goods Imports – Cars & Fuel



Source: ABS, Macrobond, Westpac Economics

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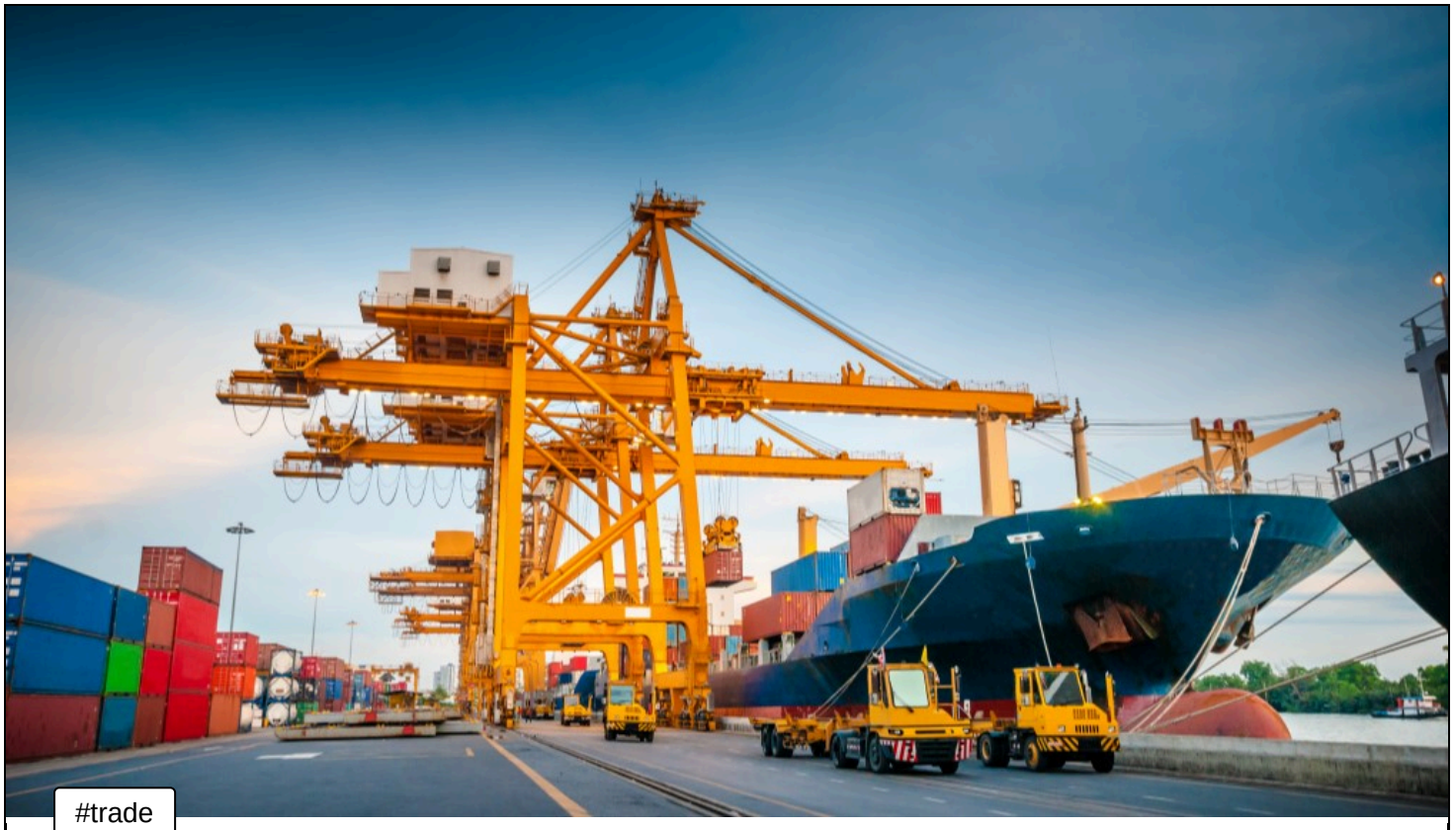


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